

The QXO logo is displayed in a large, white, sans-serif font, centered at the top of the image. It is superimposed over a photograph of a construction site. The background image shows two construction workers in orange safety vests and white hard hats standing on a concrete floor, looking out over a cityscape. The floor is supported by a network of metal scaffolding and concrete pillars. The lighting is bright, suggesting a sunny day.

QXO

Pricing Analyst Training

Your Role in the New Pricing Governance Model

2026/04/13



Training objective:

Equip you to evaluate, challenge, and recommend on future deviation requests, spend class changes, and market price change requests



Pricing analysts will play a critical role in new price implementation

What is changing and why it matters

Pricing analysts should become decision-making partners

- Moving forward you provide **RVPs, BMs, SMs with recommendation against change requests**
- You will act as an important **gate in governance for pricing decisions**
- **Your mandate is to reduce leakage, improve consistency, protect margin**

Your core responsibility

Your job is to answer one question: “Should we approve this?”

Every request should be evaluated on:

- **Margin impact** (how much are we giving up?)
- **Evidence quality** (is the volume real?)
- **Consistency** (does this align with similar customers?)

Evaluations should lead to clear recommendations:

- ✓ Agree with request
- ✗ Push back with an alternative
- ⬆ Escalate to pricing director for support

Review workflow

Your general review workflow will look like the following:

1. Validate historical and/or expected revenue
2. Quantify margin impact (Margin \$, Margin %)
3. Benchmark vs:
 - Similar customers
 - Spend class
 - System price / corridor
4. Review supporting evidence
5. Decide to **agree / push back / escalate**
6. Document and share recommendation with approving leaders

Specifics for each review type to follow

What “good” looks like

- ✓ ***Strong recommendations are:***

 - Quantified** (clear \$ and % margin impact)
 - Evidence-based** (not relationship-driven)
 - Consistent** (aligned with similar customers)
 - Actionable** (clear yes / no / escalate)
- ✗ ***Weak recommendations are:***

 - Based on opinion (“good customer”)
 - No data or benchmarks
 - No clear rationale

Your role is to help evaluate requests and protect margin

How to approve the following requests going forward

Existing deviation	New deviation	Spend class (i.e., from C → A)	Market price
You will evaluate... • What % change is it? • What margin \$ will this cost?	• What is the revenue expected (competitive or historical spend)? • Margin loss vs market?	• Does it meet requirement for the requested level? (by growth, size, frequency)	• Short term: Was there a mistake? • Long term: Is there evidence the market has shifted?
You must help gate changes by escalating to leadership • If up to 1% discount → BM and SM must review • If 1-3% → RVP and SD must review • If >3% → RVP and Sales VP must review	• If expected revenue is small → Market Price • If >3% off target by line item → RVP and SD must approve	• If changing 2 levels → RVP and SD must review • If changing from D to B → RVP and Sales VP must review • If changing from D to A → NOT allowed	• RVP and Sales VP must approve changes • If >5% → DP must review

Request type 1 – Deviations are permanent overrides and should have a high bar for what is submitted as a deviation

Changes to existing deviations

- Review **customer's current revenue, deviation, and margin**
- Calculated the **margin dollar impact** that this change in deviation % will generate

- **BM and SM** must review discounts **<1%**
- **RVP and SD** must review discounts of **1-3%**
- **RVP and Sales VP** must review discounts **>3%**

Creating a new deviation

- Review **customer's expected revenue** and evidence (e.g., an order or competitor bid)
- Calculate the **margin lost from discount off market price** for spend class categorization
- Review IV paperwork for context on new business

- **RVP and SD** must approve if discount **>3%** off line item target
- If expected revenue is small, keep at Market Price

✓ Agree only if

- Analysis indicates that a deviation will win higher volume, is within the defined deviation range
- Deviation will win back lost business
- There is tangible evidence of a competitive pressure (e.g., competitor bid)

✗ Push back if

- Requestor fails to provide documented evidence of a competitive bid or data showing that the customer plans to give QXO greater share of wallet
- Request discounts an existing IV or existing deviation further
- If expected revenue for new customers is small, push rep to use market price

Request type 2 – Spend Class changes should face the highest scrutiny given fields extensive time to review

Changes to Spend Class

Validate the business case against factors used to define current spend classes

Revenue

- Weighted 60%
- Most A/B customers are over \$300k annual revenue

Purchase frequency

- Weighted 25%
- Most A/B customers purchase multiple times per week & 20-45 weeks per year

Growth

- Weighted at 15%
 - Most A/B customers show 40-60% year over year growth
- If = 2 level change → RVP and SD must review
 - If changing from D to B → RVP and Sales VP must review
 - If changing from D to A → NOT allowed

✓ Agree only if

- The customer's revenue, purchase frequency and growth rate are consistent with similar customers in the requested spend class

✗ Push back if

- Customer profile is inconsistent with customers in the requested spend class
- Business case is limited in scope and duration – may be suited to a deviation or override

Request type 3 – Market Price change are only appropriate in the short term when system prices are incorrect

Changes to Market Price

Validate if **Market Price in the system is wrong** based on:

- 1 **Spend class alignment:** Confirm a customer isn't getting a price for the wrong spend class
- 2 **Override trends**
 - Review Mincron, override reports, and dashboard
 - Look for consistently high SKU override rates

**RVP and Sales VP must approve changes
>5% → DP must review**

✓ Agree only if

- **In the short term**, Market Prices should only be changed if there is genuine mistake
- **In the long term**, the SKU has high override rates across multiple price zones or a customer has the price for the wrong spend class0

✗ Push back if

- You identify mistakes across multiple items from the same vendor or within the same price zone

Request type 4 – Overrides: While not directly reviewing overrides, Pricing Analysts are encouraged to coach and flag behavior gaps

Role	Objective	Encouraged actions
 Monitor trends	Not directly responsible for reviewing overrides, but encouraged to Coach reps / leaders to price eroding behavior	• Review daily override reports • Review the performance dashboard • Discuss override behavior regularly with sales reps
 Identification & escalation	Ensure pricing is compliant with guidelines	• Escalate trends in system price errors • Identify reps for additional training when appropriate

Overrides <3% approved by BM and SM | Overrides >3% approved by RVP and SD

Pricing analysts must play a key role in driving improved pricing behavior

Driving impact

Identify patterns

- Identify reps and regions with **high override rates** and **consistent deviation requests**
- Detect **recurring themes** (e.g., products, customers, deal size)

Turn insights into action

- **Lead weekly reviews** to discuss and define actionable next steps
- **Host targeted training sessions** based on observed behavior
- **Partner with leadership** to address issues in pricing behavior

What success looks like

- ✓ **Lower volume** of low-quality approval requests
- ✓ **Reduced** margin leakage
- ✓ **Increased consistency** in pricing decisions across customers
- ✓ Improved **field pricing discipline** and **adherence to pricing guidelines**



Interactive scenarios: What would you do?

Example 1:

You receive a deviation request for a 10% discount on \$50k of Cambridge shingles for John's Roofing, a new customer. The request was emailed with the bidsheet and a message saying the discount is to keep John from going to a competitor

Example 2:

One of your branches sends you a request to realign Ryan's Roofers from Spend Class C to B. Twelve months of purchase data shows 200k of revenue and month-over-month growing order frequency. Other B customers show between \$350 – 500k of revenue and increasing purchases

Example 3:

A BM who just sent your RVP a price override 5% below the floor on \$100k of IKO shingles calls to ask you about changing the market price from \$143 to \$142. When you look into the issue, you see that the same branch has overridden price on the same SKU in 90% of their sales

Should you:

Agree?

Push Back?

Escalate?

Interactive scenarios: What would you do?

Example 1: Weak deviation request

You receive a deviation request for a 10% discount on \$50k of Cambridge shingles for John's Roofing, a new customer. The request was emailed with the bidsheet and a message saying the discount is to keep John from going to a competitor

Push back

1. The requestor needs to show you evidence of a competitive bid
2. Discount is outside approved window and should be escalated to RVP and SD

Example 2: Spend class misalignment

One of your branches sends you a request to realign Ryan's Roofers from Spend Class C to B. Twelve months of purchase data shows \$200k of revenue and month-over-month growing order frequency. Other B customers show between \$350 – 500k of revenue and increasing purchases

Push back / Escalate

1. Explain why Ryan's roofing still sits outside of spend class B and provide typical stats for customers in spend class B
2. Since it is only one level change, it does not need to be escalated to RVP/SD, but you can still loop in BM and/or SM to help push back

Example 3: Valid market price issue

A BM who just sent your RVP a price override 5% below the floor on \$100k of IKO shingles calls to ask you about changing the market price from \$143 to \$142. When you look into the issue, you see that the same branch has overridden price on the same SKU in 90% of their sales

Agree following some additional checks

1. Review previous pricing and pricing in other PZs
2. If needed, consult pricing leadership



Things to remember



You **own the recommendation**, not just the process



Push for decisions to be **data-driven and consistent**



Your role is to protect margin and enforce discipline



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